PHALANX FOUNDATION

Phalanx

Tokenized Delta-Neutral Equity Carry
on HyperLiquid

ct-TSLA | ct-GOOGL | ct-NVDA | ct-MU

Single-name equity carry vaults built on ERC-4626. Capturing perpetual futures funding rates through delta-neutral spot/perp positions.

Deployed on HyperEVM and Ethereum. Denominated in USDC and USDH.

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1. Executive Summary

Phalanx is a protocol that captures the funding rate spread between tokenized equity spot positions and their corresponding perpetual futures on HyperLiquid. Each Carry Token (ct-) represents a delta-neutral position in a single equity name—long spot via FELIX, short the perpetual future—generating yield from the structural imbalance between long and short demand in on-chain equity derivatives markets.

The protocol issues individual yield-bearing tokens per equity name: ctTSLA, ctGOOGL, ctNVDA, ctMU, and others. Each token retains the identity and risk profile of its underlying equity's funding rate dynamics. This is not a blended yield product or a synthetic dollar—it is a tokenized carry trade, individually composable and separately tradable.

Each vault is implemented as an ERC-4626 compliant tokenized vault, the standard interface for yield-bearing tokens in DeFi. Users deposit USDC and receive ct- shares representing their pro-rata claim on the vault's total assets. As funding accrues, the exchange rate between ct- shares and USDC increases—the token simply appreciates in value. No claiming, no staking, no harvesting.

Key Concept: ct- Token = NAV

- Each ct- token starts at $1.00 and appreciates as yield accrues. **The token price IS the performance.**
- 1 ctGOOGL is not pegged to $1—it starts at $1 and goes up. After one year at 50% yield, 1 ctGOOGL = ~$1.50 USDC.
- Your share count stays fixed. The value per share increases. This is how you earn.
- ct- tokens are fully transferable ERC-20 tokens. Send, trade, collateralize, or LP them like any token in your wallet.

Phalanx is deployed on both HyperEVM and Ethereum, with plans to denominate vaults in USDH (HyperLiquid's native stablecoin) as liquidity deepens. The protocol is operated by the Phalanx Foundation, which manages execution, risk, and rebalancing.

Metric	Current State	At Launch
Total Equity/Commodity Perp OI	$800M+ (HIP-3)	Growing 20%+ monthly
GOOGL Hourly Funding	0.00466% (~51% ann.)	First vault target
MU Hourly Funding	0.00690% (~83% ann.)	Highest yield name
NVDA Hourly Funding	0.00315% (~32% ann.)	Deepest single-name OI
Vault Standard	ERC-4626	Full DeFi composability
Protocol Fee	10% of yield	Performance only
Chains	HyperEVM + Ethereum	USDH vaults in Phase 2

Figure 1: Market snapshot and launch parameters (Feb 2026)

2. Market Opportunity

2.1 The Funding Rate Imbalance

On-chain equity perpetual futures on HyperLiquid exhibit a massive structural imbalance: demand for leveraged long equity exposure dramatically exceeds the supply of short-side liquidity. This manifests as elevated positive funding rates—currently 34-75% annualized on single-name equity perps—paid by longs to shorts every hour. Total HIP-3 open interest has surpassed $800M, with equity and commodity perps across NVDA ($59M OI), MU ($60M), GOOGL ($26M), GOLD ($119M), SILVER ($106M), XYZ100 ($116M), and many more.

This imbalance exists because the user base is predominantly retail and directionally bullish. There is no systematic short-side supplier. Phalanx fills this gap—and in doing so, becomes the mechanism that normalizes these markets toward equilibrium, capturing the fattest part of the funding compression curve as the first mover.

2.2 The Ethena Precedent

Ethena Labs demonstrated the viability of tokenizing a delta-neutral carry trade at scale. Their USDe synthetic dollar—long spot crypto, short perpetual futures—reached $10.5B in market cap capturing 7-16% annualized from BTC/ETH funding rates. Ethena proved the model works. Phalanx applies it to equities with a critical design difference: individual tokens per name rather than a blended pool.

2.3 The HyperLiquid Ecosystem

HyperLiquid's architecture uniquely enables this product. FELIX provides tokenized equity spot trading, the HIP-3 perp order book offers derivatives on the same names, and cross-asset margining means the spot position directly margins the short perp. Trade.XYZ (Unit) denominates in USDC while Felix Protocol denominates in USDH. USDH markets offer 20% lower taker fees and 50% higher rebates—a direct execution cost advantage for Phalanx's USDH-denominated vaults.

2.4 Addressable Market

Market	Size	Notes
HyperLiquid HIP-3 OI	$800M+	Equity + commodity perps
HyperLiquid Total OI	$9.6B	All perps
Tokenized Equities	~$1B TVL	Ondo leads at $500M+
Ethena USDe	$10.5B	Crypto carry precedent
TradFi Equity Basis	$200B+ notional	Institutional only

Figure 2: Addressable market context

3. How It Works: User Walkthrough

3.1 Deposit Flow

1. CONNECT	2. SELECT	3. DEPOSIT	4. EXECUTE	5. EARN
Connect wallet on HyperEVM or Ethereum	Choose vault + enter USDC amount	Approve USDC. Vault mints ct- shares	Operator buys spot + shorts perp	Funding accrues every hour. Token rises.

Figure 3: Deposit flow — from wallet connection to yield accrual

3.2 Detailed Steps

Connect and select vault

The user visits the Phalanx frontend and sees available carry vaults—ctNVDA, ctGOOGL, ctMU, ctTSLA—each displaying trailing yield averages (7-day, 30-day, since inception), total TVL, and the current real-time funding rate on the underlying perp.

Approve and deposit

The user enters $10,000 USDC. The frontend calls previewDeposit() to show exactly how many ctGOOGL shares they'll receive at the current exchange rate. The user approves USDC spending and clicks Deposit.

Receive ct- shares

The vault mints ctGOOGL shares to the user's wallet. At launch (exchange rate = 1.00), they receive 10,000 ctGOOGL. These are standard ERC-20 tokens—fully transferable, tradable, and usable as collateral anywhere that accepts ERC-20s.

Behind the scenes

The operator buys $10,000 GOOGL spot on FELIX and opens a $10,000 notional short GOOGL perp in the vault's dedicated subaccount. The vault is now delta-neutral.

3.3 Holding: The Token IS Your Performance

The user does nothing. Every hour, funding settles. The subaccount's equity increases. The exchange rate ticks up.

Example: 30 Days Holding ctGOOGL

- Deposited: $10,000 USDC → 10,000 ctGOOGL at $1.0000 each
- After 30 days (~720 funding periods at ~0.00466% per hour):
- Exchange rate: 1 ctGOOGL = ~$1.0302 USDC
- Your 10,000 ctGOOGL are now redeemable for ~$10,302 USDC
- You haven't clicked, claimed, or staked anything. **The token price IS your return.**

3.4 Withdrawal Flow

1. REDEEM	2. BURN	3. UNWIND	4. RECEIVE
Enter shares to burn or USDC desired	Vault burns your ctGOOGL shares	Operator closes perp + sells spot	USDC to wallet. Small: instant. Large: <24h

Figure 4: Redemption flow

Small redemptions within the vault's USDC buffer (3-5% TVL) settle near-instantly. Larger redemptions requiring position unwinds settle within 24 hours.

3.5 Alternative: Secondary Market

Instead of redeeming, sell ctGOOGL on a DEX. Instant, no queue. If it trades below NAV, arbitrageurs buy and redeem at the vault, keeping secondary prices anchored.

4. Vault Architecture (ERC-4626)

4.1 Why ERC-4626

ERC-4626 is the Ethereum standard for tokenized yield-bearing vaults. It defines a universal API for depositing, receiving shares, and redeeming. Every major DeFi protocol—Aave, MakerDAO, Yearn, Pendle, Morpho—supports ERC-4626 natively. By building Phalanx vaults as ERC-4626 contracts, ct-tokens are plug-and-play with the entire DeFi ecosystem from day one.

4.2 Token Standard and Transferability

ERC-4626 is an extension of ERC-20—the standard fungible token interface. Every ct- token inherits the full ERC-20 interface: transfer(), transferFrom(), approve(), and allowance(). ct- tokens are fully transferable between wallets in a single transaction, exactly like USDC, WETH, or any other ERC-20 token.

Send wallet-to-wallet in a standard ERC-20 transfer. **Trade** on any DEX via AMM pools. **Deposit** as collateral on lending platforms. **Split** into PT/YT on Pendle for fixed/variable yield exposure. **Bridge** between HyperEVM and Ethereum like any ERC-20.

There is no lockup, no staking requirement, and no restriction on transfer. The ct- token in your wallet is yours to use however you want.

4.3 Core ERC-4626 Interface

asset(): Returns USDC (or USDH). What users deposit and withdraw.

totalAssets(): Total USDC managed by the vault = HyperLiquid subaccount equity + USDC buffer. This is the NAV.

convertToShares / convertToAssets: Exchange rate calculations. convertToAssets tells you the current share price—the price IS the performance.

deposit / redeem: Standard mint/burn. Deposit USDC → get ct- shares. Burn ct- shares → get USDC at current exchange rate.

4.4 Exchange Rate = Performance

The ct- token uses a share-price-appreciation model (like wstETH, sUSDe, or yvUSDC). When the vault launches, 1 ctGOOGL = 1.0000 USDC. As funding accrues:

Day 0: 1 ctGOOGL = 1.0000 USDC

Day 30: 1 ctGOOGL = 1.0302 USDC (+3.0%)

Day 90: 1 ctGOOGL = 1.0920 USDC (+9.2%)

Day 365: 1 ctGOOGL = 1.5070 USDC (+50.7% at current rates)

The share count never changes. The value per share increases. **The token price is the performance.** There is no separate “yield” to claim. If you hold 10,000 ctGOOGL, your wallet always shows 10,000 ctGOOGL—but the USDC value grows with every funding payment.

4.5 Subaccount Isolation

Each vault maps 1:1 to an isolated HyperLiquid subaccount. ctTSLA is entirely separate from ctGOOGL. Risk isolation means one name's funding inversion cannot affect another. Each subaccount's total equity IS that vault's totalAssets(). All positions are verifiable on HyperLiquid L1.

4.6 Asynchronous Redemptions (ERC-7540)

Standard ERC-4626 assumes atomic redemptions. Since Phalanx requires position unwinds for large redemptions, the vault implements ERC-7540 extensions for asynchronous redemption requests. Small redemptions (within the USDC buffer) are atomic. Large redemptions enter a queue and settle within 24 hours.

5. Yield Flow & Variable Rate Disclosure

5.1 Where the Yield Comes From

Every hour, HyperLiquid settles funding between longs and shorts on each perp. When funding is positive (structurally the case for equity perps given the long demand imbalance), longs pay shorts. The vault's short perp position receives this payment as USDC credited to the subaccount's margin balance.

5.2 From Subaccount to Token Value

The vault's totalAssets() reads the subaccount's total equity from HyperLiquid L1 state. When funding hits the subaccount, total equity increases, totalAssets() returns a higher number, and the exchange rate (totalAssets / totalSupply) increases. The ct- token is now worth more USDC. No manual settlement, no harvesting, no claiming.

5.3 Concrete Example

Deposit: $10,000 USDC → ctGOOGL vault

Vault buys $10,000 GOOGL spot on FELIX, opens $10,000 notional short GOOGL perp. User receives 10,000 ctGOOGL (exchange rate = 1.00).

1 hour later: Funding settles

GOOGL perp funding: 0.00466% (hourly rate). Funding received: $10,000 × 0.00466% = $0.47. Protocol fee (10%): $0.05 → Phalanx treasury. Net to vault: $0.42. totalAssets(): $10,000.42. Exchange rate: 1.000042 USDC per ctGOOGL.

Price movement (doesn't matter)

GOOGL +5%: Spot +$500, perp -$500 → net zero. GOOGL -3%: Spot -$300, perp +$300 → net zero. Only funding moves NAV. Price exposure is fully hedged.

5.4 Protocol Fee Flow

10% of each funding payment is routed to the Phalanx treasury. 99% of treasury revenue goes to PHLX token buyback and burn. 1% retained for operations. Fee only charged on positive yield—zero fee in negative funding periods.

5.5 Variable Rate Disclosure

Important: Yield is Variable and Market-Determined

- Phalanx does not set, guarantee, or promise any specific rate of return.
- Yield is determined entirely by the prevailing funding rate on each equity perp market on HyperLiquid. These rates are set by market supply and demand—not by Phalanx.
- Funding rates change every hour and can be positive (vault earns), zero, or negative (vault pays from reserves).

- Past funding rates are not indicative of future performance. Current elevated rates reflect the nascent state of on-chain equity perps.

What the Frontend Displays

The Phalanx dashboard presents yield data with clear context to avoid implying guaranteed returns:

Trailing 7-day average: The actual realized annualized yield over the past 7 days. Backward-looking realized performance, not a forward projection.

Trailing 30-day average: Smoothed realized performance over 30 days. Less volatile, better for comparison.

Since-inception average: Cumulative annualized realized yield since vault launch.

Current funding rate (real-time): The live hourly funding rate on the underlying perp. Displayed separately as a real-time market indicator, explicitly labeled as the current rate—not a projection or promise.

All yield figures on the Phalanx frontend are computed from actual, realized funding payments already received by the vault. No figure represents a forward-looking estimate or implied promise.

Why Rates Will Compress Over Time

Current funding rates (34-75% annualized) are elevated because these markets are new and lack short-side liquidity. As Phalanx and other participants supply short-side capital, funding rates will naturally compress toward equilibrium—just as crypto perp funding compressed from 50%+ to 5-15% as that market matured. Phalanx's strategy is to capture the fattest part of this compression curve as the first systematic supplier, while acknowledging that long-term rates will be materially lower than launch-period rates.

6. Execution System

6.1 Architecture

The Phalanx operator runs an execution bot connected to HyperLiquid's API, managing one isolated subaccount per equity name. The bot handles order placement on both FELIX (spot) and the perp order book.

6.2 Entry: Perp-First Strategy

The short perp is the harder leg—less liquid, wider spread. The operator secures the perp fill first, then fills the spot against the confirmed perp price. Orders are sliced into tranches of ~2% of order book depth, executed over 5-30 minutes depending on size and volatility. A circuit breaker pauses if cumulative slippage exceeds the buffer.

Liquidity research shows equity perp bid-ask spreads average 1.7 bps on HyperLiquid—tighter than traditional overnight equity trading. Pre-market hours offer 40-55% tighter spreads, making off-hours the preferred execution window.

6.3 Position Management

Delta drift: Rebalance when notional diverges >0.5% between legs. **Margin:** Monitor utilization continuously, reduce size if >70%. **Funding:** Confirm receipt every hour, calculate fee, update NAV.

6.4 Exit Execution

Redemption unwinds mirror entry: close perp first (buy to cover), then sell spot. USDC freed flows to vault contract for user withdrawal.

6.5 Operator Model

Phalanx operates as a centralized operator model. The Phalanx Foundation is the sole operator for trade execution, risk management, and rebalancing. Smart contracts enforce user claims, but execution decisions are made off-chain. This is the same model used by Ethena. Trust is minimized through on-chain position transparency, real-time NAV publishing, and limited operator permissions.

7. Risk Management

7.1 Funding Rate Risk

The primary risk is funding rate inversion—periods where funding turns negative and the vault's short position pays rather than receives.

Reserve Fund: 10-15% of yield retained per vault during positive periods. **Yield Floor:** Holder yield floored at zero; reserve absorbs negative funding. **Dynamic Allocation:** Shift to USDC/stables during sustained negative funding. **Name Selection:** Operator may close vaults with structurally negative funding.

7.2 Liquidity Risk

Vault TVL / Name OI	Risk Level	Response
< 5%	Low	Standard execution
5-15%	Moderate	Extended TWAP, wider buffers
15-25%	Elevated	Deposit caps, enhanced monitoring
> 25%	High	Pause deposits, consider unwind

Figure 5: Liquidity risk framework

7.3 Other Risks

Execution/Leg Risk: Time between spot and perp fills. Mitigated by perp-first execution, slippage buffers, circuit breakers. **Smart Contract Risk:** Audited ERC-4626 implementation. Timelock + multisig upgrades. **Platform Risk:** Both legs on HyperLiquid. Accepted tradeoff for execution simplicity. Ethereum deployment provides partial diversification. **Oracle Risk:** Cross-oracle spread monitoring between HyperLiquid mark price and Ondo/FELIX spot pricing.

8. Yield Analysis

8.1 Current Funding Rate Snapshot

Name	Hourly Funding	Gross Ann.	Net (10% fee)	Open Interest
MU	0.00690%	~75.1%	~67.6%	$60.2M
GOOGL	0.00466%	~50.7%	~45.7%	$26.2M
NVDA	0.00315%	~34.3%	~30.8%	$59.4M
COPPER	0.0109%	~14.8%	~13.3%	$48.9M
GOLD	0.0055%	~7.5%	~6.7%	$118.9M
SILVER	0.0050%	~6.8%	~6.1%	$105.6M

Figure 6: HyperLiquid equity/commodity perp funding (Feb 12, 2026). Point-in-time snapshots, not projections.

8.2 Yield Compression Model

Current rates are elevated due to the nascent state of on-chain equity perps. As Phalanx and other participants supply short-side liquidity, funding will compress:

Scenario	Month 1-3	Month 4-6	Month 7-12	Blended
Bull (rates persist)	40-70%	25-45%	15-30%	~35%
Base (gradual)	40-70%	15-25%	8-15%	~22%
Bear (rapid compress)	40-70%	8-12%	5-8%	~15%

Figure 7: Yield compression scenarios (illustrative, not guaranteed)

Even in the bear case, 15% annualized on a delta-neutral equity position is highly competitive. Ethena's sUSDe yields 5-12% in far more mature crypto basis markets. However, these scenarios are illustrative and actual performance may differ materially.

8.3 Yield Decomposition (ctGOOGL Example)

Component	Rate	Notes
Hourly Funding Rate	0.00466%	Primary yield driver (variable)
Annualized Funding	~50.7%	8,760 periods/year (at current rate)
Dividend Yield	~0.5%	Passed through via oracle
Gross Yield	~51.2%	At today's snapshot rate
Protocol Fee (10%)	-5.1%	To treasury → 99% buyback
Execution Drag	-1 to 2%	Rebalancing + entry/exit
Net to Holder	~44-45%	At current rates (will compress)

Figure 8: Yield decomposition for ctGOOGL. All figures are point-in-time and will change.

9. DeFi Composability

9.1 ERC-4626 + ERC-20 Native Composability

Because ct- tokens are ERC-4626 compliant (and therefore ERC-20 compatible), they plug directly into existing DeFi infrastructure without custom adapters. Any protocol that accepts ERC-20 tokens can accept ct- tokens.

9.2 Pendle: Fixed vs Variable Yield

PT-ctTSLA (Principal Token): Bought at discount, redeemable at maturity for 1 ctTSLA. Locks in a fixed yield on TSLA carry. This product—fixed-rate equity carry—does not exist anywhere in TradFi or DeFi today.

YT-ctTSLA (Yield Token): The variable funding rate stream. Leveraged bet that TSLA funding stays elevated. This creates an entirely new yield curve across equity names.

9.3 Lending (Aave, Morpho, MakerDAO)

Deposit ctMU as collateral → borrow USDC → redeposit into ctMU = leveraged carry. Cross-name: borrow against ctGOOGL to fund ctMU (relative value carry trade). MakerDAO-style: ct- tokens as vault collateral to mint stablecoins.

9.4 Secondary Markets

ct- tokens trade on DEX AMMs. Premium/discount to NAV creates arb: above NAV → mint and sell; below NAV → buy and redeem. This keeps secondary prices anchored.

9.5 Cross-Chain

With deployment on HyperEVM and Ethereum, ct- tokens access both ecosystems. Mint on HyperEVM, bridge to Ethereum for Aave/Pendle/Uniswap integration.

10. PHLX Token & Fee Structure

10.1 Fee Structure

Component	Rate	Notes
Performance Fee	10% of gross yield	Only on positive yield
Entry/Exit Fee	0%	Execution cost only
Management Fee	0%	No AUM-based fee

Figure 9: Fee structure

10.2 Fee Distribution

Allocation	Pct	Mechanism
PHLX Buyback & Burn	99%	Open market purchases, permanent burn
Operating Reserve	1%	Infrastructure and operations

Figure 10: 99% of protocol revenue flows to PHLX token buybacks

10.3 Revenue Projections

TVL	Avg Yield	Gross Rev	10% Fee	Buyback (99%)
$10M	35%	$3.5M/yr	$350K	$347K
$50M	25%	$12.5M/yr	$1.25M	$1.24M
$100M	20%	$20M/yr	$2.0M	$1.98M
$250M	15%	$37.5M/yr	$3.75M	$3.71M

Figure 11: Illustrative protocol revenue (not guaranteed)

10.4 Token Distribution

Allocation	Pct	Vesting
Community	70%	Airdrop + phased distribution to vault depositors
Team & Advisors	15%	1-year cliff, 3-year linear vest
Treasury	10%	Governance-controlled
Strategic	5%	6-month cliff, 2-year vest

Figure 12: PHLX distribution — 70% to community

Total supply: 1,000,000,000 PHLX. The 70% community allocation is distributed via a points program rewarding early vault depositors. Points accrue on dollar-weighted time in vaults with early deposit multipliers.

11. Multi-Chain & USDH Strategy

11.1 Dual Deployment

HyperEVM: Native chain. Lowest latency to trading positions. Direct NAV readability from L1 state. HyperLiquid-native DeFi access.

Ethereum: Access to Aave, Morpho, Pendle, Uniswap, Curve. Institutional depositors. Deeper secondary market liquidity.

ct- tokens are bridgeable between chains. Mint on HyperEVM, bridge to Ethereum for DeFi composability. NAV synchronized via operator-published oracle.

11.2 USDH Denomination

Phase 1 (Launch): USDC-denominated vaults only. **Phase 2:** USDH-denominated vaults. Felix/USDH markets offer 20% lower taker fees and 50% higher rebates—directly improving net yield. **Dual vaults:** ctTSLA-USDC and ctTSLA-USDH side by side. Same delta-neutral position, different base currency, potentially different net yield.

12. Roadmap

Phase 0: Pre-FELIX (Now)

Finalize ERC-4626 vault contracts on HyperEVM and Ethereum. Build and test execution bot against HyperLiquid API. Run proof-of-concept carry trade with own capital (track record). Deploy testnet vaults; begin security audits. Begin points program for early capital commitments.

Phase 1: Launch (FELIX Live)

Deploy mainnet vaults: ctNVDA, ctGOOGL, ctMU. Activate execution system with conservative position limits. Publish real-time vault dashboard with on-chain NAV verification. Deploy Ethereum mirror contracts.

Phase 2: Scale (+ 1-3 Months)

Expand to additional equity names. Pendle integration for PT/YT yield splitting. Lending market integrations (Aave, Morpho, HyperLiquid-native). DEX AMM pools for secondary ct- trading. Launch USDH-denominated vaults.

Phase 3: Ecosystem (+ 3-6 Months)

Launch PHLX governance token. Community airdrop (70% allocation) based on points. Activate 99% buyback-and-burn mechanism. Structured products on ct- token composability.

Phase 4: Institutional (+ 6-12 Months)

Institutional API for programmatic vault interaction. Fixed-rate products via Pendle for institutional allocation. TradFi distribution partnerships. Multi-chain ct- token expansion.

13. Legal Considerations

13.1 Jurisdictional Structure

The Phalanx Foundation will be domiciled in a jurisdiction providing clear regulatory frameworks for digital asset operations. Specific entity structure subject to ongoing legal review.

13.2 Securities Considerations

ct- tokens are yield-bearing vault shares implemented as ERC-4626/ERC-20 tokens. Characterization under applicable securities laws is a key consideration. Appropriate access controls and eligibility requirements will be implemented as determined by counsel.

13.3 FELIX / Ondo Compliance

The spot leg relies on FELIX, which uses Ondo's tokenized equity infrastructure. Ondo Global Markets has filed with the SEC and operates under KYC/KYB requirements. Phalanx must integrate with these compliance requirements.

13.4 Disclaimer

This whitepaper is for informational purposes only and does not constitute an offer to sell, a solicitation of an offer to buy, or a recommendation of any security, token, or investment product. Information herein is subject to change and is not guaranteed to be complete or accurate. All yield figures presented are based on historical or current funding rates and are not indicative of future results. Funding rates are variable and determined entirely by market conditions. The protocol does not guarantee, promise, or project any specific rate of return. Participation involves significant risks including total loss of capital. Consult your own legal, tax, and financial advisors.

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For inquiries, contact the Phalanx Foundation.